

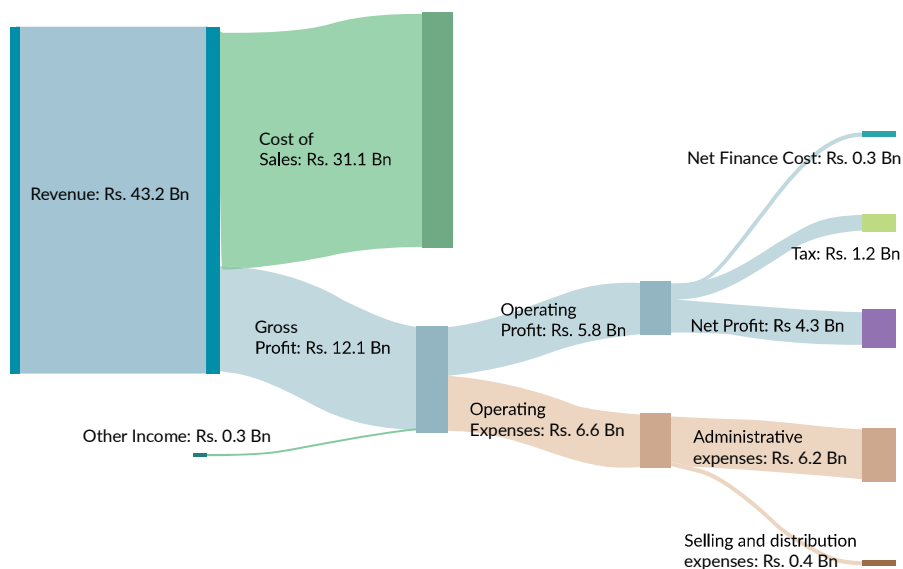
TAXATION GRI 207-1 to 4

The Group's tax expenses declined by 31% to Rs. 1.25 Bn during the year. This reduction was primarily due to the decline in profitability and enhanced capital allowances granted on investments in new businesses.

Haycarb's Board of Directors and Audit Committee formulates and directs its tax strategy while the CFO and the finance team guides its implementation. The Internal Audit Team monitors the Group's

compliance with tax regulations on an ongoing basis while the external auditors conducts an independent evaluation at the end of the fiscal year. The Group's CFO is responsible for liaising with the tax authorities and filing tax returns with the respective departments of the Inland Revenue in a timely manner. Haycarb complied with all tax regulations of each country of operation with no incidents of non-compliance recorded during the year under review.

Sankey diagram on the income statement



CASHFLOW

Cash generated from operations before changes in working capital amounted to Rs. 7.31 Bn for the year, an increase of Rs. 1.04 Bn compared to the previous year. However, the Group reported a net cash outflow of Rs. 0.35 Bn from operating activities, primarily due to increased investments in inventory, driven by significant rise in raw material prices and increase in inventory at marketing offices to ensure uninterrupted supplies to our customers. Net cash outflows from investing activities totaled Rs. 2.3 Bn, with the Group's ongoing

efforts to expand capacity of value-added carbon manufacturing and renewable energy initiatives. Meanwhile, net proceeds from interest-bearing borrowings rose by Rs. 1.5 Bn. Reflecting the net negative cash flows from operating and investing activities, the Group's cash and cash equivalents declined by Rs. 2.7 Bn during the year.

ASSET STRENGTH

The Group's total asset base expanded by 13.6% to Rs. 45.89 Bn as of end-March 2025, primarily driven by capital investments of Rs. 2.5 Bn in property, plant, and equipment, along with a Rs. 3.6 Bn increase in inventory.

Asset composition



Additionally, Haycarb's Right-of-Use Assets increased to Rs. 1.45 Bn, reflecting the recognition of a newly leased long-term property in the Philippines, in accordance with SLFRS 16. Other non-current financial assets increased to Rs. 2.29 Bn, mainly due to fair value adjustments of quoted equity investments.

FUNDING PROFILE

The Group's funding profile remained strong despite an increase in its gearing ratio to 23.4% as at end March 2025.

The Group's total borrowings expanded by 45% to Rs. 9.08 Bn (including non-current lease liabilities) as at end-March 2025. The Group relied on long-term borrowings for several capital projects resulting in an increase to Rs. 1.36 Bn as at end March 2025 compared to Rs. 0.25 Bn in 2023/24. Meanwhile non-current lease liabilities widened to Rs. 1.39 Bn during the year due to the long-term lease on the Right-of-Use property in the Philippines for the new manufacturing plant. The Group's short-term interest-bearing loans and borrowings increased by 10% to Rs. 4.55 Bn as at end March 2025 predominantly due to investments in inventory.

Supported by stable performance and profit retention, Haycarb's Shareholders' Funds expanded by 15% to Rs. 29.7 Bn as at end March 2025.